

Reply to representation / objections made to the demand notice (guidance)

Reply within 15 days of receipt (do not wait for the full period). The reply must be reasoned, not a ritual rejection.

S.No.	Possible objection from borrower/owner	Reply of the Bank: explain with reference to
1	Denial that account has been NPA	Explain how account has been classified as NPA as per extant guidelines of RBI/Bank.
2	Denial of loan	Deny and refer to loan application and loan documents executed supported with proof of end utilization, and particulars of specific release etc.
3	Denial of execution of loan documents	Loan documents executed supported with other correspondence, if any.
4	Denial of creation of charge / mortgage	Loan/security documents like hypothecation agreements/mortgage charge created, and if registered/filed with statutory authorities (Sub-Registrar, ROC, RTO, Central Registry under SARFAESI Act), be referred to.
5	Denial of guarantee by guarantors and resort to borrower's securities first	Liability of the guarantors is joint, several and co-extensive with that of the borrower and bank can resort to any security.
6	Claim barred by limitation	Deny and refer to operations in the account (debit/credit transactions or last instalment deposited), loan documents executed, recall notice served, invocation of guarantee, balance confirmation letter or the balance sheet of the party, if available.
7	Rate of interest not correctly charged / penal interest wrongly charged / rate is high	Explain that interest has been charged as per sanction letter, loan documents and various circulars and is not contrary to RBI guidelines/Bank's policy.
8	Debits of various charges / expenses disputed	Deny, refer to enabling clauses in the loan documents and Bank guidelines.
9	Claim is not correct	Deny and refer to balance confirmation letters executed or the balance sheet of the party, if available.
10	Statement of account not furnished / received	State that statement of account furnished from time to time. However furnish a copy of statement of account again to the borrower.
11	Bank cannot take action without filing suit or take possession without order of the court	No such bar is prescribed under SARFAESI Act. Civil Court has no jurisdiction for steps taken under this Act.
12	Simultaneous action under SARFAESI cannot be resorted to as Civil Case/DRT case is pending	Supreme Court in Transcore v/s Union of India (judgment dt. 29.11.2006) held that remedies under DRT Act and Securitization Act can be simultaneously resorted to.
13	Requests for time, tagging, restructuring, rescheduling, rephasing, OTS	Consider on merits as per extant guidelines and decide quickly at the appropriate level; inform the borrower, subject to executing a Supplementary Agreement to keep further action under SARFAESI in abeyance.